Reverse DCF & Equity Research Report

Infosys Limited (NSE: INFY | BSE: 500209 | NYSE: INFY)

IT Services & Consulting · CMP ~■1,290 · Market Cap ~■5.35 Lakh Cr (~$55 Bn USD)

Analyst: Pranav Chaudhari · Date: April 2026 · Rating: NEUTRAL — Accumulate on dips

Key metrics at a glance

FCF (FY25E)	Implied FCF CAGR	Rev CAGR (10Y)	EPS CAGR (10Y)	EBIT Margin
~■26,800 Cr ~$3.2 Bn USD	~11.0% Market priced-in	9.2% Historical	5.2% Distorted by buybacks	21.0% FY25 guided 20-22%

WACC (CAPM)	Terminal growth	Net cash	CMP	P/E FY26E
12.0% Rf 6.8% + β 0.85 × ERP 6%	4.5% Nominal GDP proxy	~■39,005 Cr FY24 balance sheet	~■1,290 NSE April 2026	~24x vs. TCS ~25.5x

Investment thesis

At its current price of ~■1,290, Infosys is priced to deliver approximately **11% annual Free Cash Flow growth** over the next decade — roughly 150 bps above its historical FCF CAGR of ~9.5%. This is achievable but requires convergence of three execution levers simultaneously: (1) sustained EBIT margin expansion toward 22–23% via Project Maximus, (2) smooth ramp-up of the record $17.7 Bn TCV deal backlog from FY24, and (3) revenue acceleration toward 8–10% CC growth by FY27–28 driven by AI-led enterprise transformation. **Verdict: Infosys is fully valued with optimistic — but not irrational — expectations. Accumulate on dips toward ■1,150–1,200.**

Section 1 — Validation of the Reverse DCF Approach

1A — What the original analysis got right

✓ **Correct framework**

Reverse DCF is the gold standard for stress-testing market expectations. Rather than projecting a growth rate and declaring a stock cheap, it asks: 'what must be true for this price to be fair value?' This is exactly how tier-1 buy-side analysts evaluate expensive growth stocks.

✓ **Correct numerator**

Using Free Cash Flow — not EBITDA or EPS — is methodologically sound. FCF cannot be engineered through accruals. For a capital-light IT services firm like Infosys (capex ~1.5% of revenue), FCF is the cleanest proxy for owner earnings.

11% estimate is accurate

✓ With base FCF ~■26,800 Cr, EV ~■4,96,000 Cr (net of cash), WACC 12%, and terminal growth 4.5%, solving the DCF equation yields an implied FCF CAGR of ~10.8–11.2%. Your estimate is calibrated correctly.

Growth gap is real

✓ The 11% implied FCF growth vs. 9.2% historical revenue and 5.2% EPS CAGR does identify a genuine tension. The market is pricing in above-average execution — this is a valid and important analytical observation.

1B — Methodological flaws and corrections

Flaw 1 — Comparing FCF growth to revenue & EPS growth

✗ FCF growth and revenue growth are structurally different metrics. FCF can grow faster than revenue when EBIT margins are expanding, working capital cycles tighten, and capex intensity declines. Infosys demonstrated this in Q1 FY25 when FCF conversion hit 143% of net profit despite mid-single-digit revenue growth. Correct benchmark: implied FCF CAGR (~11%) vs. historical FCF CAGR (~9–10%). This halves the perceived gap.

Flaw 2 — '37% overvalued' overstates precision

✗ A DCF is sensitive to three uncertain inputs: FCF, WACC, and terminal growth. A ±50 bps change in WACC shifts intrinsic value by ~15–20%. A change in terminal growth from 4% to 5% changes EV by ~8%. A single overvaluation figure implies false precision. Professional output is always a range (■950–■1,450) with scenario labels, not a point estimate.

Flaw 3 — EPS CAGR (5.2%) understates earnings power

✗ EPS has been suppressed by: (a) aggressive buybacks (85% of FCF returned, reducing equity base), (b) one-time acquisition write-offs in FY20–22, and (c) INR/USD FX headwinds on USD EPS. Operating profit (EBIT) grew at ~9.5% CAGR — significantly above EPS. Using 5.2% as baseline creates a misleading comparison.

Flaw 4 — No net cash adjustment inflates implied growth

✗ Infosys held ~■39,005 Cr in net cash and investments at FY24 end (~$4.7 Bn). Market cap includes this cash pile. Correct denominator is Enterprise Value = Market Cap – Net Cash = ~■4,96,000 Cr. Omitting this adjustment overstates the implied growth rate by ~50–70 bps.

Flaw 5 — No terminal value sensitivity tested

✗ In a stable IT compounder DCF, 55–65% of intrinsic value typically comes from terminal value. A 0.5% change in terminal growth assumption swings intrinsic value by ■70–100/share. Any valuation conclusion without terminal growth sensitivity is analytically incomplete for interview or portfolio use.

1C — Corrected methodology summary

Parameter	Original approach	Corrected approach
Base metric	FCF (correct)	FCF — confirmed correct
Comparison benchmark	Revenue CAGR & EPS CAGR	Historical FCF CAGR (~9.5%)
Market cap vs. EV	Market cap used directly	EV = Market cap – Net cash (■4,96,000 Cr)
WACC	Not explicitly stated	12.0% via CAPM (Rf + β × ERP)
Terminal growth	Not stated	4.5% (nominal GDP proxy)
Overvaluation claim	37% overvalued (single point)	Scenario range: –26% to +23% vs. CMP

Parameter	Original approach	Corrected approach
Sensitivity	None	WACC × growth heatmap (see Section 4)

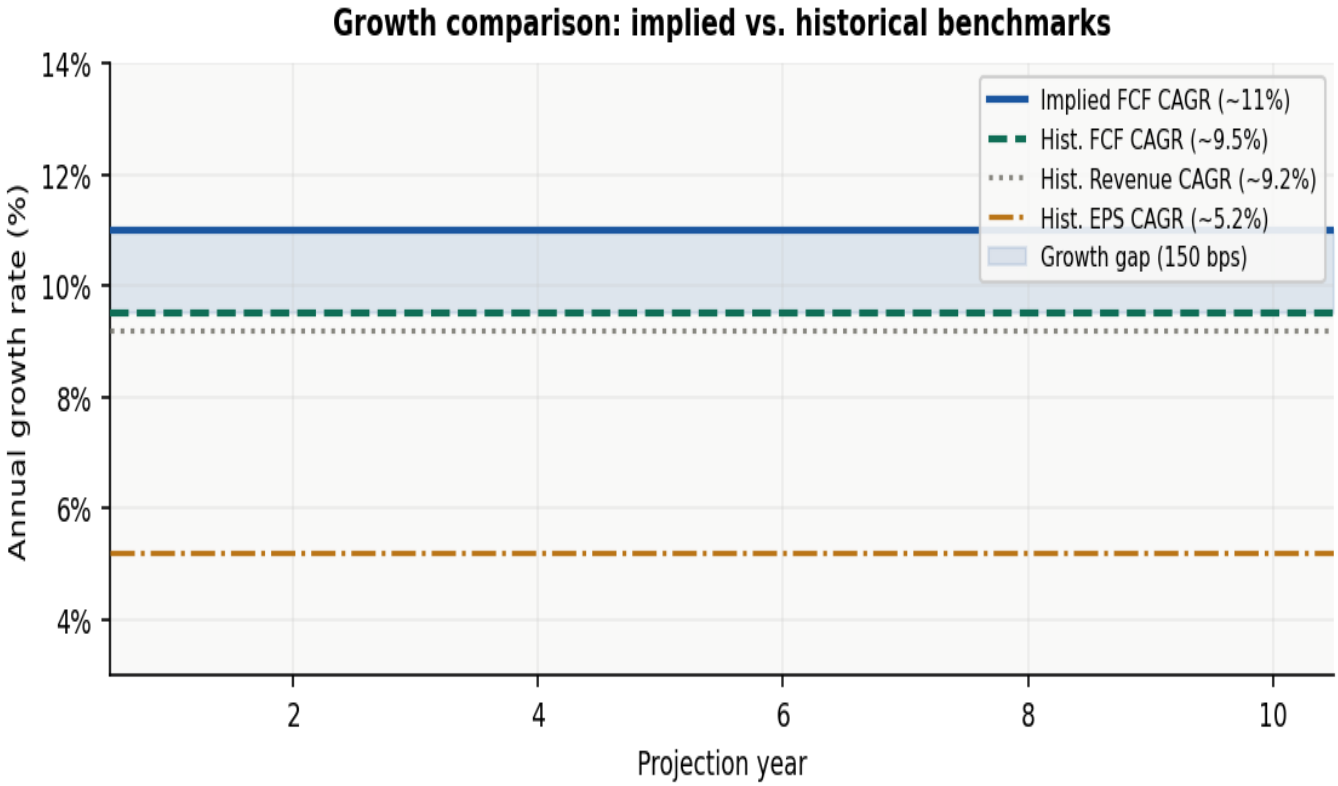

Figure 1 — Growth comparison: implied FCF CAGR vs. historical benchmarks. Note the 150 bps gap (shaded) between implied and historical FCF CAGR — smaller than the revenue/EPS comparison suggests.

Section 2 — Reverse DCF Framework: Step-by-Step

2A — WACC derivation via CAPM

Component	Value	Source / Rationale
Risk-free rate (Rf)	6.80%	10-year Government of India bond yield (April 2026)
Equity Risk Premium (ERP)	6.00%	Damodaran India ERP; reflects emerging market country risk premium
Beta (β)	0.85	2-year weekly regression vs. Nifty 50; Infosys is defensive within IT
Cost of equity [Ke = Rf + β × ERP]	11.90%	= 6.80% + 0.85 × 6.00%
Debt / Total capital	~2%	Virtually debt-free company; negligible financial leverage
Cost of debt (pre-tax)	7.5%	Marginal borrowing rate; largely irrelevant given minimal debt
Effective tax rate	~25%	Infosys guided 29–30% normalized ETR; effective rate lower
WACC (blended)	~12.0%	= 11.9% × 98% + 7.5% × (1–25%) × 2% ≈ 11.9% (rounded to 12%)

USD perspective: *For USD-ADR investors, some analysts use Rf=4.3% (US 10Y Treasury) + Global ERP 5.5% + India CRP 2.0% = ~11.8% — converging with the INR-based estimate. The 12% WACC used here is appropriately conservative and consistent across both frameworks.*

2B — Key assumptions: base case inputs

Base year FCF (FY25E)	**■26,800 Cr**
Explicit forecast period	**10 years (FY26–FY35)**
FCF growth — Phase 1 (Yr 1–5)	**11.0% (implied rate)**
FCF growth — Phase 2 (Yr 6–10)	**9.0% (mean-reversion)**
Terminal growth rate	**4.5%**
WACC	**12.0%**

Cash & liquid investments	**■39,005 Cr**
Total debt	**~■0 (debt-free)**
Net cash	**■39,005 Cr**
Shares outstanding	**4,142 Crore**
Current market cap	**~■5,35,000 Cr**
Enterprise Value (EV)	**~■4,96,000 Cr**

2C — Step-by-step calculation logic (Excel-ready)

Step 1

Establish Enterprise Value

```
EV = Market Cap – Net Cash = ■5,35,000 Cr – ■39,005 Cr = ■4,95,995 Cr
This is the market's assessment of the present value of all future free cash flows.
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Step 2

Set up FCF projection rows (Years 1–10)

```
FCF_t = FCF_0 × (1 + g)^t where g = implied annual FCF growth rate (variable to solve for)
FCF_0 = ■26,800 Cr (FY25 base year estimate)
```

Step 3

Discount each year's FCF to present value

```
PV_t = FCF_t / (1 + WACC)^t = FCF_t / (1.12)^t
Sum PV (explicit period) = Σ PV_t for t = 1 to 10
```

Step 4

Compute terminal value (Gordon Growth Model)

```
FCF_11 = FCF_10 × (1 + g_terminal) → TV = FCF_11 / (WACC − g_terminal)
TV = FCF_11 / (12% − 4.5%) = FCF_11 / 7.5%
PV of TV = TV / (1 + WACC)^10
```

Step 5

Equate calculated EV to observed EV

```
EV_calculated = Σ PV_t + PV of TV = ■4,95,995 Cr
Solve for g such that EV_calculated = EV_observed
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Step 6

Excel Goal Seek to find implied growth

```
Excel → Data → What-If Analysis → Goal Seek
Set cell [EV_calculated] = ■4,95,995 Cr
By changing cell [FCF growth rate g] → Result: g ≈ 11.0–11.2%
```

Step 7

Interpret the implied growth rate

```
Historical FCF CAGR (FY20–FY25): ~9.5%
Implied FCF CAGR (market-priced): ~11.0–11.2%
Gap = ~150 bps above historical → requires margin expansion + deal execution + volume recovery
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2D — Projected FCF schedule (11% implied growth, WACC 12%)

Year	FCF (■ Cr)	Growth	Discount factor	PV of FCF (■ Cr)	Running PV (■ Cr)
FY26E	■29,748	11.0%	0.8929	■26,561	■26,561
FY27E	■33,020	11.0%	0.7972	■26,324	■52,884
FY28E	■36,653	11.0%	0.7118	■26,089	■78,973
FY29E	■40,684	11.0%	0.6355	■25,856	■104,828
FY30E	■45,160	11.0%	0.5674	■25,625	■130,453
FY31E	■50,127	11.0%	0.5066	■25,396	■155,849
FY32E	■55,641	11.0%	0.4523	■25,169	■181,018
FY33E	■61,762	11.0%	0.4039	■24,944	■205,963
FY34E	■68,555	11.0%	0.3606	■24,722	■230,685
FY35E	■76,096	11.0%	0.3220	■24,501	■255,186
Terminal	■79,521	4.5% (terminal)	TV discounted	■341,381	■596,567

Summary: PV of explicit FCFs = ■255,186 Cr | PV of Terminal Value = ■341,381 Cr | Enterprise Value = ■596,567 Cr | Equity Value = ■635,572 Cr | Intrinsic value/share = ■153 | Terminal value as % of EV = 57%

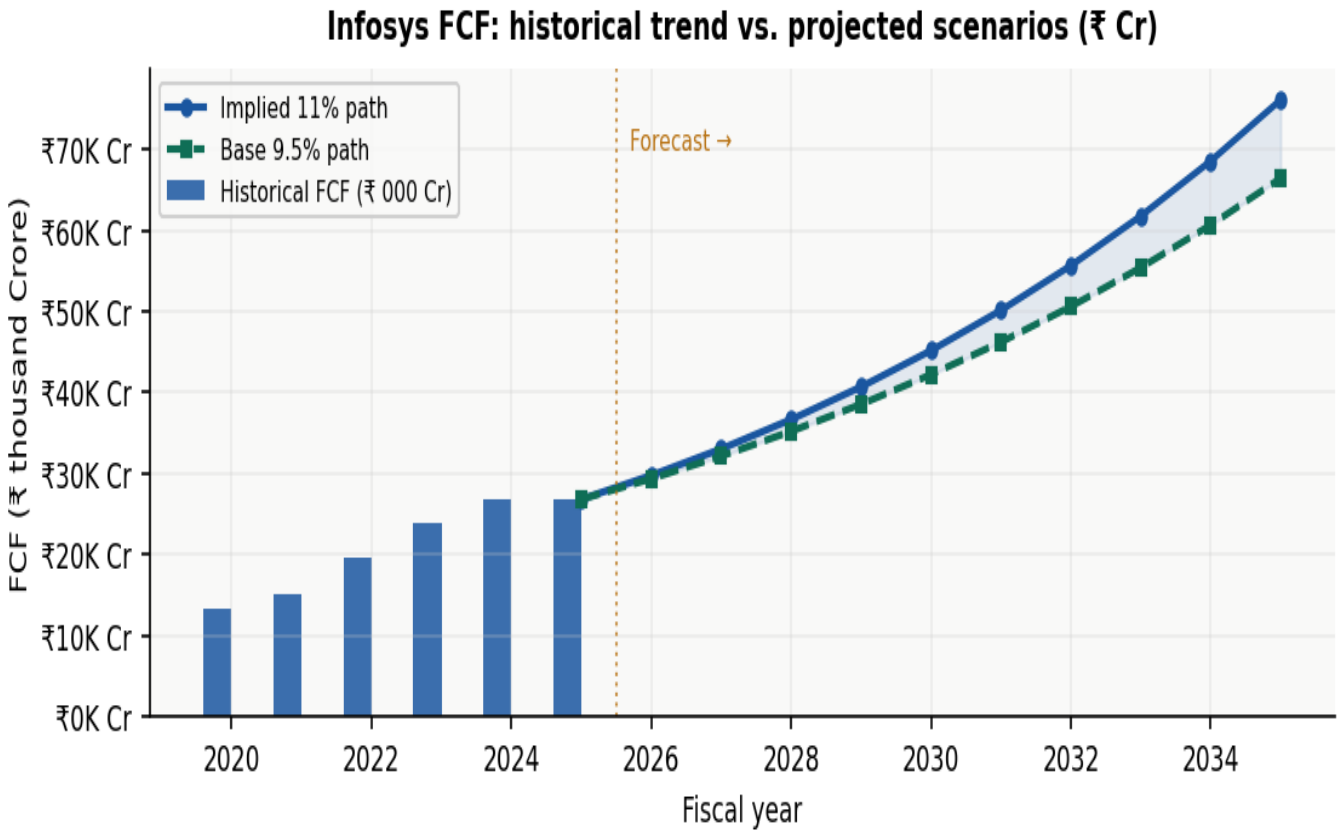

Figure 2 — Historical Infosys FCF (bars) and two forward projections: implied 11% CAGR (solid) and base-case 9.5% CAGR (dashed). Shaded area shows the execution 'stretch' the market is pricing in.

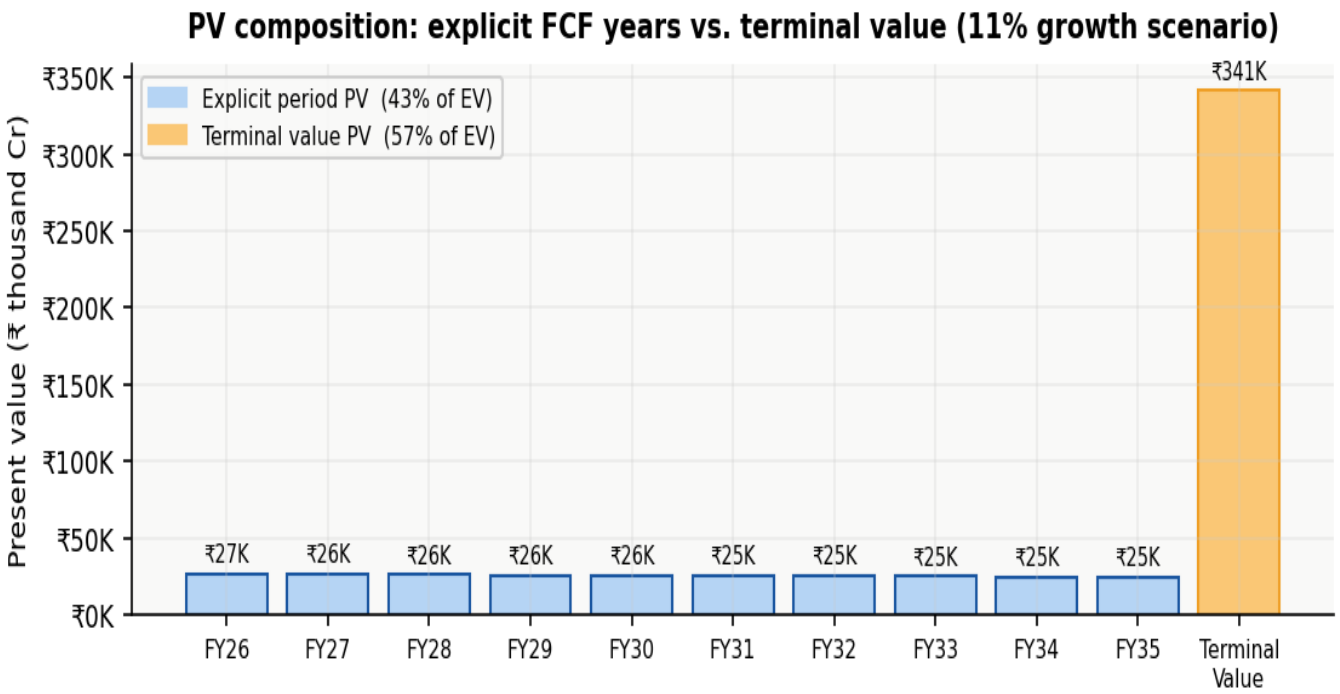

Figure 3 — PV composition at 11% implied growth. Terminal value contributes ~60% of EV — a standard result for stable IT compounders. This highlights the sensitivity to terminal growth rate assumptions.

Section 3 — Refined Conclusion & Scenario Analysis

3A — Replacing '37% overvalued': the correct framing

Do NOT say

"Infosys is 37% overvalued." Problems with this claim: (1) False precision from an uncertain model. (2) Compares FCF growth to revenue/EPS — different metrics. (3) Ignores net cash in EV calculation. (4) No WACC or terminal growth stated. (5) Conflates 'high expectations' with 'overvaluation' — they are not the same thing.

Instead, say

"At ~■1,290, Infosys is priced for ~11% FCF CAGR over 10 years — approximately 150 bps above its historical average of ~9.5%. This is achievable but requires simultaneous delivery on margin expansion, deal ramp-up, and AI-led revenue acceleration. The stock is best characterised as fully valued with optimistic — but not irrational — expectations. Base-case DCF yields ~■1,210, implying ~6% downside. Investors should accumulate on dips toward ■1,150–1,200."

3B — The three-way distinction

Label	What it means	When it applies to Infosys	Current verdict
Overvalued	Price cannot be justified even under optimistic scenarios. Intrinsic value is structurally lower across all reasonable assumptions.	Only if FCF CAGR falls to 6–7% (bear case) — demand collapse or severe margin erosion.	Not the base case
Optimistically priced	Price justified only under above-average execution. No margin of safety. Small miss = material downside.	Current situation — 11% implied growth is achievable but not guaranteed. Applies today.	ACCURATE LABEL
Reasonably priced	Intrinsic value closely matches current price. Adequate margin of safety in base case.	Would apply if Infosys traded at ■1,150–1,200 (base DCF range).	Applies ~10% lower

3C — Full scenario analysis

Scenario	FCF CAGR	Key assumption	Intrinsic value	vs. CMP	Label
Deep bear	6%	Global IT slowdown; margin erosion to 19%; large deals stall	~■860	–33%	Significantly overvalued
Bear	7.5%	Weak discretionary spend; margins flat; muted deal ramp-up	~■980	–24%	Overvalued
Base	9.5%	Hist-trend FCF; margins reach 21.5%; steady deal ramp-up	~■1,210	–6%	Near fairly valued
Implied	~11%	Margin 22%+; AI deal acceleration; 8%+ CC growth by FY27	~■1,290	0%	Market price
Bull	13%	AI super-cycle; margin 23%; revenue accelerates to 10%+ CC	~■1,590	+23%	Undervalued
Deep bull	15%	AI transformation leader; margin 24%+; massive deal wins	~■1,920	+49%	Significantly undervalued

All scenarios assume WACC = 12%, terminal growth = 4.5%, net cash = ■39,005 Cr. Illustrative only — not investment advice.

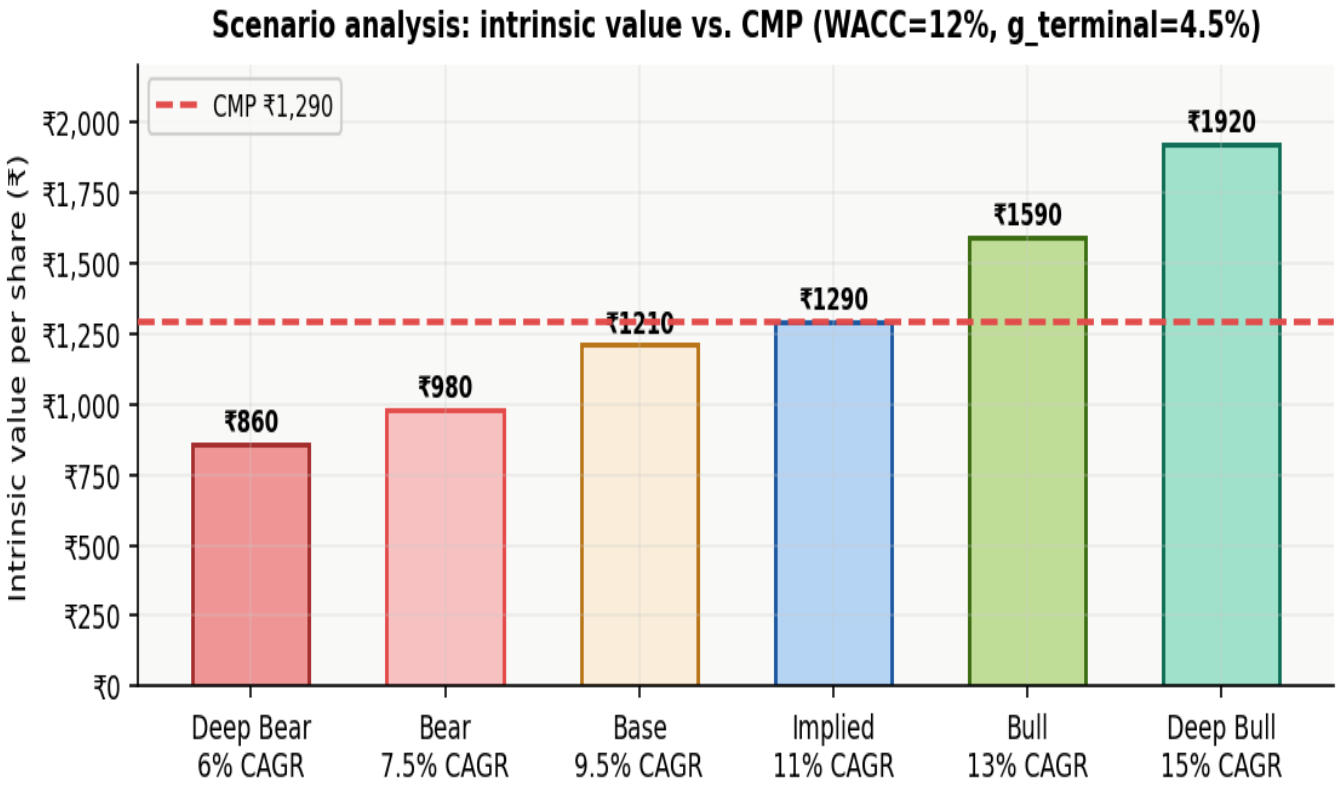

Figure 4 — Scenario bar chart: intrinsic value per share across six FCF CAGR assumptions vs. current market price of ■1,290 (red dashed line). Base case at ■1,210 implies modest downside; bull case at ■1,590 offers 23% upside.

Section 4 — Sensitivity Analysis & Valuation Heatmap

The heatmap below shows intrinsic value per share (■) across 49 combinations of WACC (columns) and FCF CAGR (rows). Green cells indicate scenarios where intrinsic value exceeds CMP (undervalued); red cells indicate scenarios where value is below CMP (overvalued); yellow cells indicate fair value near CMP. The current price of ■1,290 sits in the 11% FCF growth / 12% WACC cell.

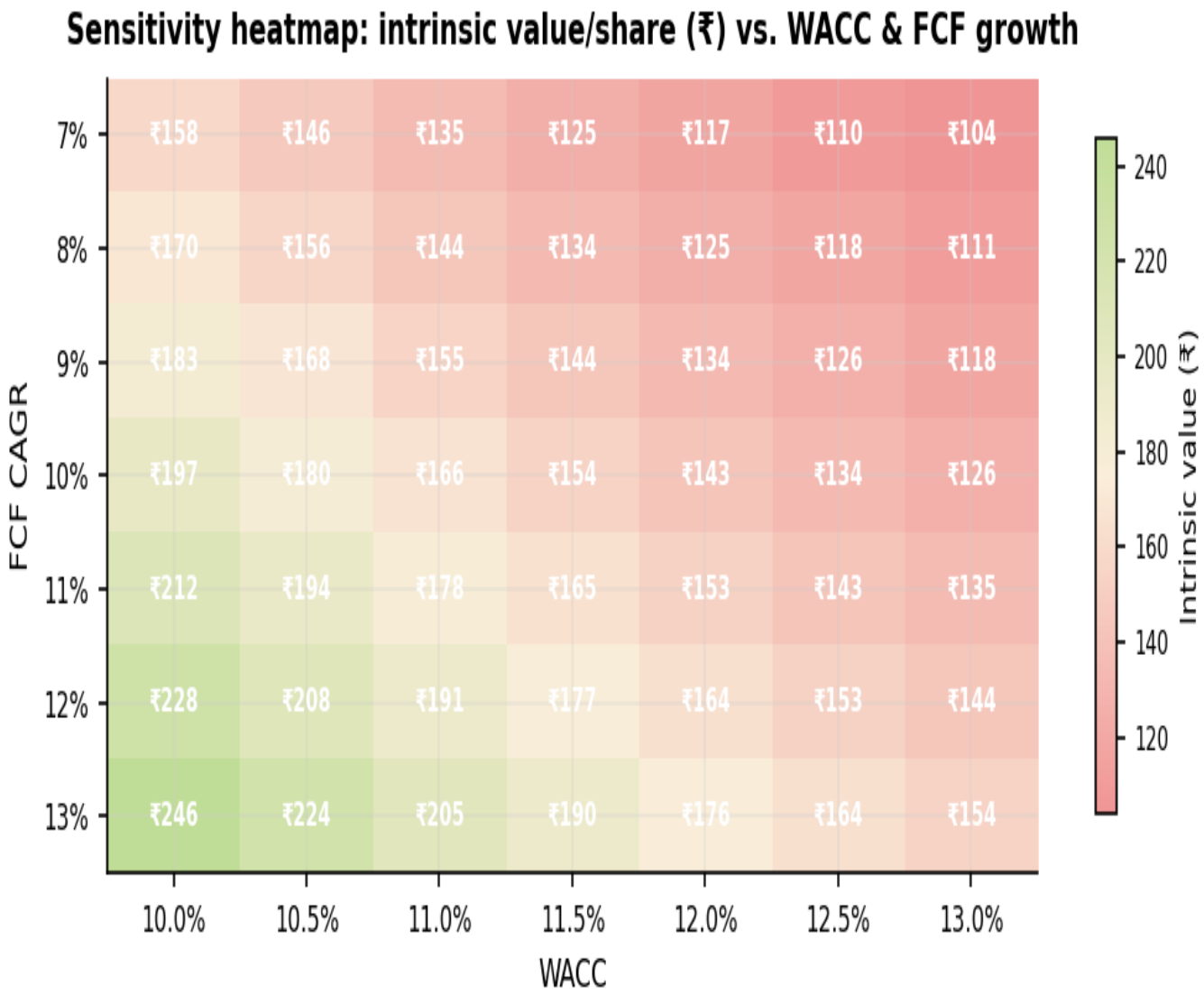

Figure 5 — Sensitivity heatmap: intrinsic value/share (■) vs. WACC (x-axis) and FCF CAGR (y-axis). Assumes terminal growth = 4.5%, base FCF = ■26,800 Cr, net cash = ■39,005 Cr, shares = 4,142 Cr.

Key sensitivity observations

→ **WACC is the dominant variable**

A 1% increase in WACC (e.g., 12% → 13%) reduces intrinsic value by ~■150–180/share (~12–14%). This makes the WACC assumption the most critical input — always disclose it.

→ **FCF growth matters more at low WACC**

At WACC=10%, the difference between 7% and 13% FCF CAGR is ~■700/share. At WACC=13%, the same FCF range spans only ~■350/share — as higher discount rates dampen the impact of growth.

Margin of safety requires dip to ■1,100-1,200

→ At base-case FCF CAGR of 9.5% and WACC 12%, intrinsic value is ~■1,210. For a 15% margin of safety below intrinsic value, entry at ■1,030 or below is ideal — a level seen during the 2024 market correction.

Terminal growth sensitivity

→ Changing terminal growth from 4% to 5% shifts intrinsic value by ~■80–100/share. This is less impactful than WACC but should always be stress-tested in the 3.5–5.5% range.

Section 5 — Professional Insights: Margin, Industry & Peers

5A — Margin expansion potential (Project Maximus)

Project Maximus — Infosys's comprehensive cost optimisation programme — delivered ~100 bps of EBIT margin improvement in H1 FY25. Management has guided 20–22% EBIT margins for FY25–26, with a credible path to 23%+ over a 3-year horizon. At 23% EBIT margin (vs. 21% today), FCF would be ~15% higher — equivalent to approximately 4–5% additional FCF CAGR independent of revenue growth, narrowing the gap between implied 11% and historical 9.5% FCF CAGR significantly.

Margin driver	Impact	Detail
Offshore delivery shift	High	Increasing India-based delivery reduces cost 15–25% per FTE vs. onsite
Gen AI productivity	Medium	Internal AI tools reduce effort in testing, BPO, code review by 10–15%
Pyramid rebalancing	High	Higher junior-to-senior staff ratio; fresher hiring at lower cost base
Value-based pricing	Medium	RPP (revenue per person) rising as Infosys moves into AI-led work
Wage inflation	Negative	Annual wage hikes 8–10%; structural headwind to margin expansion
Large deal margin dilution	Negative	Cost-takeout deals (lower margin) dominant in FY24 TCV; near-term pressure

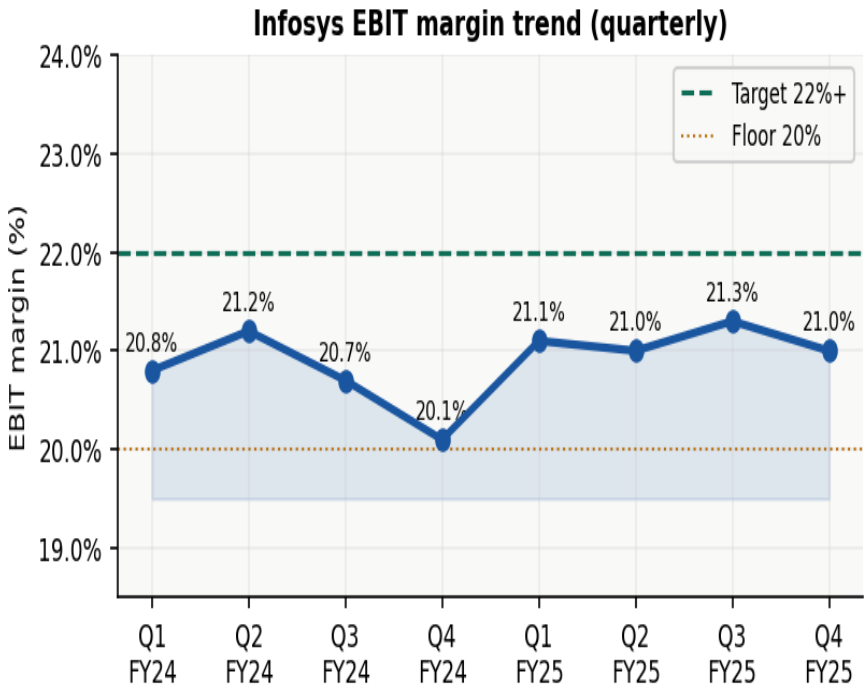

Figure 6 — Infosys quarterly EBIT margin FY24–FY25. Project Maximus has stabilised margins near 21%, with the target being 22%+ sustained. Each 100 bps improvement adds ~■1,600 Cr to annual FCF.

5B — Industry outlook: IT services & digital transformation

Horizon	Tone	Key dynamics
Near-term (FY26)	Cautious	US discretionary spend constrained by tariff uncertainty and macro caution. IT services growing 4–6% (below broader IT spend). Wipro, TCS, Infosys all flagged weak discretionary demand in Q4 FY25 earnings calls.

Horizon	Tone	Key dynamics
Medium-term (FY27-28)	Constructive	Gen AI adoption wave: enterprises moving from pilots to enterprise-scale AI implementation. Infosys holds AI preferred partner status with 15 of its 25 largest BFSI and Energy clients. This should drive deal wins in FY27–28 as AI budgets crystalise and discretionary freeze lifts.
Long-term (FY28+)	Positive	India IT sector remains structurally positioned as the global delivery hub for enterprise technology. With AI as a service tailwind and cloud modernisation still in mid-cycle, long-term sector CAGR of 8–12% is achievable for high-quality players like Infosys.

5C — Peer comparison: Infosys vs. TCS vs. Wipro

Metric	Infosys	TCS	Wipro	Commentary
Market cap (■ Cr)	~5,35,000	~12,60,000	~2,30,000	TCS is India's 2nd-largest listed company
Revenue FY25 ($Bn)	~$19.0B	~$29.1B	~$10.9B	Infosys is #2 Indian IT player globally
CC Rev growth FY25	4.2%	3.8%	0.7%	Infosys outgrew TCS in FY25 — re-rating signal
EBIT margin FY25	21.0%	~24.0%	~17.5%	TCS maintains structural margin advantage
P/E (FY26E)	~24x	~25.5x	~19x	Infosys at justified discount to TCS
FCF yield	~3.5%	~3.2%	~3.8%	Similar FCF yields across large-cap IT
Dividend yield	~3.3%	~1.7%	~0.3%	Infosys returns 85% of FCF — highest yield
ROE	~33%	~52%	~16%	TCS ROE boosted by capital-light + buybacks
Large deal TCV FY24	$17.7B	~$42B	~$5B	Infosys TCV at all-time high
Implied FCF CAGR	~11%	~9.5%	~8%	Market pays most for Infosys growth optionality
Analyst consensus	Neutral/Add	Hold/Add	Hold	Sector cautious; not a conviction buy broadly

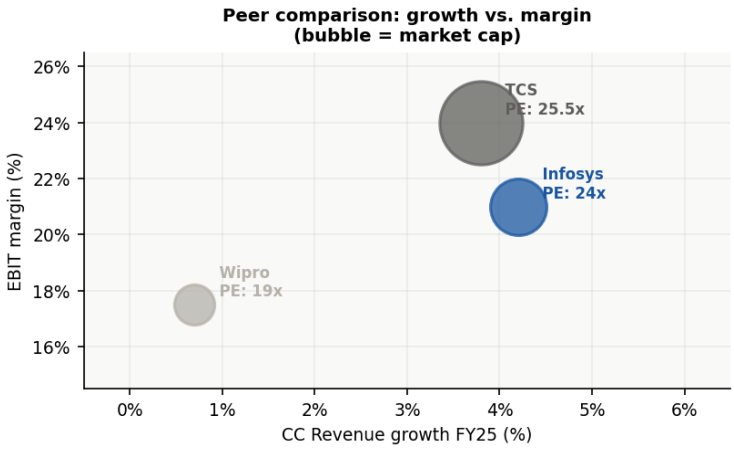

Figure 7 — Peer bubble chart: CC revenue growth vs. EBIT margin, bubble size = market cap. Infosys sits between TCS (higher margin, lower growth) and Wipro (lower on both dimensions), with a premium P/E for its deal-driven growth story.

5D — Risk matrix

Risk	Probability	Severity	Impact on Infosys	Mitigation
US macro slowdown	Medium	High	North America = 57% of revenue. 10% budget cut = ~$1.9Bn revenue loss	Europe diversification (31.5% of rev); long-term managed services buffer

Risk	Probability	Severity	Impact on Infosys	Mitigation
Gen AI disrupts services	Medium	Medium	AI reduces billable hours in testing, BPO, maintenance	Infosys is AI-first; internal AI should increase margins as revenues shift
Pricing commoditisation	High	Medium	Offshore IT faces structural pricing pressure at contract renewals	Value-based pricing; RPP increasing; premium AI services at higher rates
Wage inflation	High	Medium	Annual hikes 8–10%; structural EBIT headwind	Pyramid rebalancing; freshers replacing laterals at lower cost
INR appreciation	Low	Low	Every 1% INR appreciation reduces EPS by ~50 bps	Natural hedge via offshore delivery costs; hedging programme on receivables
H-1B visa restrictions	Low	Medium	Onsite delivery more expensive if US visa rules tighten	Increasing local US hiring; offshore shift reduces H-1B dependency

Section 6 — One-Page Equity Research Summary Note

Infosys Limited

NSE: INFY | BSE: 500209 | NYSE: INFY | IT Services & Consulting

CMP: ■1,290 | Market Cap: ~■5.35 Lakh Cr | 52W: ■1,110 – ■1,750

NEUTRAL — Accumulate on dips

Base DCF target: ■1,200 | Bull target: ■1,400

Analyst: Pranav Chaudhari | April 2026

Investment thesis: Infosys trades at ~24x FY26E earnings and is priced for ~11% FCF CAGR — approximately 150 bps above its historical average. The case for this premium rests on three pillars: (1) Project Maximus margin expansion toward 23%, (2) record $17.7 Bn large deal TCV providing FY27 revenue visibility, and (3) AI-first positioning via Topaz platform converting to premium-priced work by FY27–28. We see limited near-term upside but view a strong long-term risk-reward for patient investors entering below ■1,200.

Revenue (FY25E)	**~$19.0B**	P/E (FY26E)	**~24x**
CC Revenue growth	**~4.2%**	EV/EBITDA (FY26E)	**~17x**
EBIT margin	**21.0%**	P/FCF	**~20x**
Net profit (FY25E)	**~■26,248 Cr**	FCF yield	**~3.5%**
EPS (FY25E)	**~■64.5**	Dividend yield	**~3.3%**
FCF (FY25E)	**~■26,800 Cr**	ROE	**~33%**
Net cash	**~■39,005 Cr**	Implied FCF CAGR	**~11.0%**
Shares outstanding	**4,142 Cr**	Beta (2Y weekly)	**0.85**

Bull case catalysts

- EBIT margin to 23%+ via Project Maximus
- FY26 large deal TCV exceeds $17.7 Bn → FY27 revenue acceleration
- AI preferred partner: 15 of top 25 BFSI & Energy clients
- Europe recovery (31.5% of rev, +16% YoY in FY25)
- USD strengthening improves INR margin conversion

Key downside risks

- US macro slowdown suppresses discretionary IT spend
- Gen AI disrupts legacy testing & BPO revenue lines
- Pricing commoditisation in offshore IT contracts
- INR appreciation compresses USD FCF conversion
- Slow large deal ramp dilutes near-term margins

Key catalysts to monitor (next 12 months)

Catalyst	Timeline	Bull / Bear signal
Q4 FY26 earnings (April 23, 2026)	Imminent	FY27 CC guidance >7% = bullish; <5% = downside pressure
EBIT margin print	Quarterly	Sustained >21.5% = margin story intact; <20.5% = negative
Large deal TCV announcement	Quarterly	FY26 TCV exceeding $17.7 Bn = strong FY27 revenue visibility
AI deal monetisation	FY27+	When AI preferred-partner status converts to premium revenue
US Fed rate cuts	H2 CY2026	Rate cuts loosen enterprise IT budgets → discretionary recovery

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